Finance Procedures: Approvals, Payments and Month-End Close

Owner: Finance Manager · **For:** the Finance team only · **Version:** FY 2026-27, 1 April 2026

These procedures tell the finance team how to check and approve spending, pay vendors and close the books. The rules travellers must follow are in the Travel and Expense Policy; this document covers what happens after a claim or invoice reaches Finance.

1. Approval limits

Amount per claim or purchase	Approved by
Up to ₹40,000	The requester's Engineering Manager (or reporting manager)
₹40,001 to ₹2,00,000	Finance Manager
Above ₹2,00,000	Admin, after the Finance Manager's review
Any international travel	Admin

Nobody may approve their own claim. Claims from the Finance Manager are approved by the Admin.

2. Checking expense claims

Before paying a claim, Finance checks that:

1. Receipts are attached for every item above ₹500.

2. Hotel and daily allowance amounts are within the travel policy limits.

3. The claim was submitted within 15 days of the trip (late claims need the Finance Manager's approval; above 60 days they are rejected).

4. The same receipt hasn't been used in another claim. The expense portal flags duplicates automatically.

Suspected misuse (duplicate receipts, split bills, personal expenses) is put on hold and reported to the HR Manager within **2 working days**. Don't contact the employee about it yourself.

3. Reimbursement cycle

- Claims approved by the **20th** of the month go into that month's payroll and are paid on the last working day.
- Claims approved after the 20th are paid in the next month's payroll.
- Urgent reimbursements above ₹50,000 can be paid by separate bank transfer within **3 working days** with the Finance Manager's approval.

4. Vendor payments

- All vendors must be registered in the vendor master with PAN, GST number and bank details verified by a cancelled cheque.
- Standard payment terms are **net 30 days** from the invoice date. Small vendors registered under MSME are paid within **15 days**.
- Every invoice must match a purchase order before payment (two-way match).
- Invoices above **₹5,00,000** need **two signatures**: the Finance Manager and an Admin.
- Payment runs happen every **Tuesday and Friday**. Invoices approved by 12:00 make that day's run.

- Bank detail changes requested by a vendor by email are **never** accepted without a phone call to the contact person on file. This is our main defence against payment fraud.

5. Petty cash

- The Bengaluru office keeps petty cash of up to **₹10,000**, held by the Accounts Executive.
- Single petty-cash payments are limited to ₹2,000.
- Petty cash is counted and reconciled every **Friday**.

6. Team budgets

- Each team's events budget (₹2,500 per person per quarter) is tracked by Finance. Engineering Managers see their remaining balance in the monthly budget mail.
- Spending above a team's quarterly budget needs the Finance Manager's approval before the event.

7. Month-end close

Step	Deadline
All expense claims for the month approved	20th
Payroll inputs sent to HR	20th
Vendor invoices booked	Last working day
Bank reconciliation done	2nd working day of the next month
Books closed	**3rd working day** of the next month
Management report to Admins	5th working day

8. Audit and compliance

- Internal audit of expense claims every **quarter**, on a random sample of 10% of claims.
- Statutory audit at the end of the financial year (31 March); audit fieldwork runs in May.
- GST returns are filed by the **11th** (GSTR-1) and **20th** (GSTR-3B) of each month.
- TDS is deposited by the **7th** of the following month.